



MULTINATIONAL BUSINESS FINANCE | EITEMAN, STONEHILL & MOFFETT, 14E

Chapter 14

Raising Equity and Debt Globally

A restructured study guide with worked examples and practice questions

Learning Objectives



Design a strategy to source equity capital globally



Identify the financial instruments used to raise equity in global markets



Analyze the unique role of private placement in raising global capital



Explore the different structures used to source debt globally



Compare the optimal financial structure of a multinational vs. a domestic firm



Understand depositary receipts (DRs) as a form of foreign listing in U.S. markets



Evaluate the goals firms weigh when pursuing a foreign equity listing

Chapter Roadmap



I. Sourcing Equity Globally



II. Optimal Financial Structure & the MNE



III. Raising Equity Globally



IV. Depositary Receipts



V. Private Placement



VI. Foreign Equity Listing & Issuance



VII. Raising Debt Globally



Appendix: Financing the Foreign Subsidiary

I

Sourcing Equity Globally

How firms design a strategy to attract international investors



Building a Global Capital-Sourcing Strategy



Why go global?

To access global capital markets, a firm must design a strategy that will attract international investors.

This means identifying and choosing among alternative paths to reach global markets.

It usually requires restructuring the firm and raising the quality of disclosure, accounting, and reporting so foreign investors can trust the numbers.



Designing the strategy

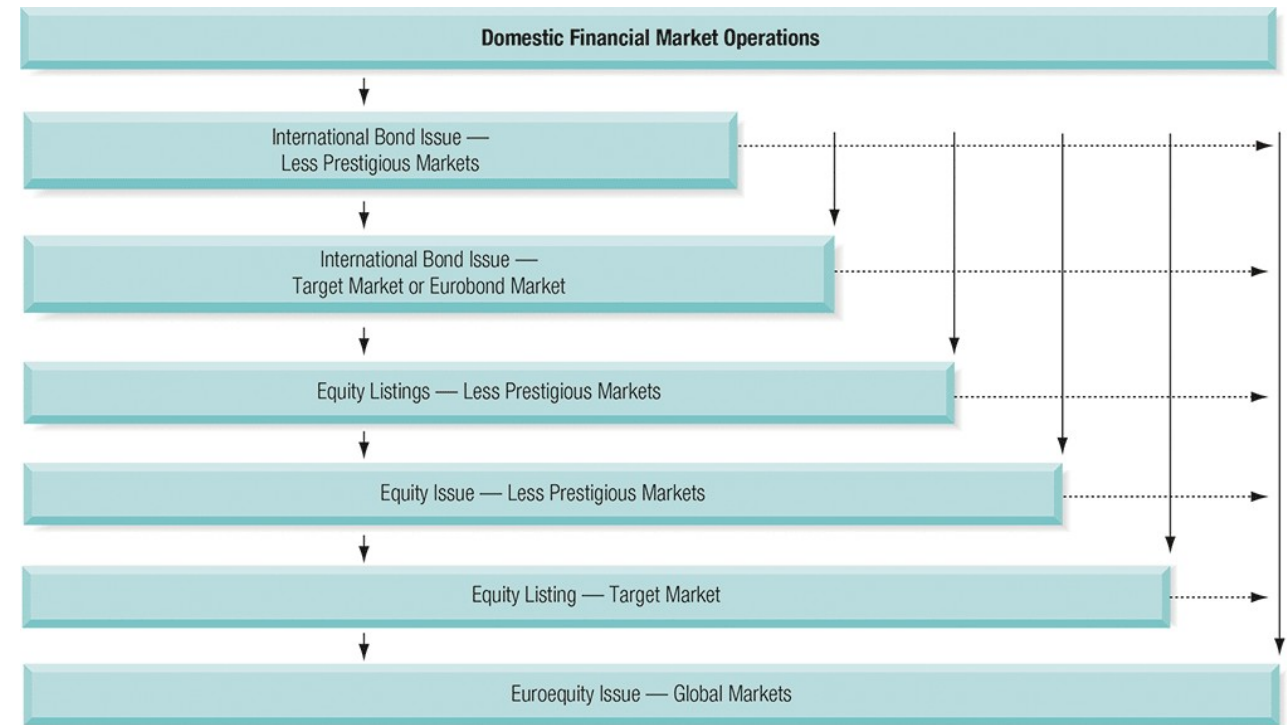
Management must first agree on a long-run financial objective, then choose among the paths available to reach it.

This process is often aided by early appointment of an investment bank as official advisor.

Investment bankers stay in touch with potential foreign investors, know current requirements, and help navigate institutional and regulatory barriers.

From Domestic to Global: The Incremental Path

- Most firms raise their initial capital in their own domestic market.
- Firms that have only raised capital domestically are usually not well known enough to attract foreign investors.
- **Common incremental steps to bridge that gap:**
 - Conduct an international bond offering
 - Cross-list equity shares on a highly liquid foreign stock exchange
- Exhibit 14.1 (right) maps the alternative paths firms use to globalize the cost and availability of capital.



Source: Oxelhiem, Stonehill, Randøy, Vikkula, Dullum, and Modén, *Corporate Strategies in Internationalizing the Cost of Capital*, Copenhagen: Copenhagen Business School Press, 1998, p. 119.

Exhibit 14.1 — Alternative Paths to Globalize the Cost and Availability of Capital



SECTION I

Applying the Concept



WORKED EXAMPLE

A mid-sized Vietnamese manufacturer wants to lower its cost of capital by attracting foreign investors. It has only ever borrowed and issued shares on the Ho Chi Minh Stock Exchange (HOSE). Following Exhibit 14.1's logic, a realistic first step is NOT an immediate global IPO — it is more likely to be an international bond offering or a cross-listing (e.g., an ADR program, covered in Section IV) on a more liquid exchange such as Singapore or New York, once disclosure and reporting are upgraded to international standards.



DISCUSSION QUESTIONS

1. Why would a firm that is completely unknown internationally struggle to price a global IPO fairly?
2. What specific changes to disclosure and accounting standards would a Vietnamese firm most likely need to make before approaching international portfolio investors?
3. Why might an investment bank be appointed before the firm chooses which market to target?

II

Optimal Financial Structure and the MNE

Why the domestic theory of capital structure needs four new variables





The Domestic Theory of Optimal Financial Structure

- The domestic theory of optimal financial structure must be modified considerably to fit the multinational firm.
- Most finance theorists agree that, once taxes and bankruptcy costs are considered, a firm has an optimal mix of debt and equity — the mix that minimizes its cost of capital for a given level of business risk.
- As the business risk of new projects differs from existing ones, the optimal debt/equity mix shifts to balance business risk against financial risk.
- Exhibit 14.2 (right) shows how the weighted average cost of capital (kWACC) changes as the amount of debt employed increases.

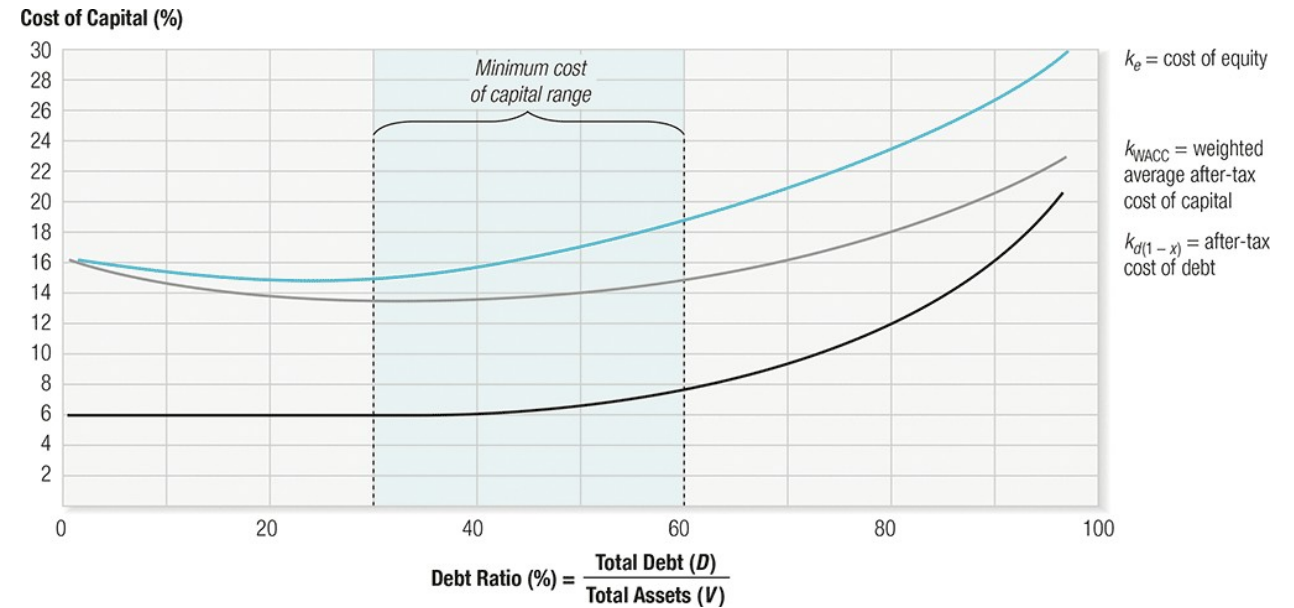


Exhibit 14.2 — The Cost of Capital and Financial Structure

Worked Example: How Debt Lowers WACC



WHY THIS MATTERS

As the debt ratio rises, kWACC falls at first because low-cost, tax-deductible debt [$k_d(1 - t)$] is cheaper than equity (k_e) — up to the point where added financial risk starts pushing both costs back up.

Debt Ratio	Cost of Debt $k_d(1-t)$	Cost of Equity k_e	kWACC
0%	—	12.0%	12.00%
20%	5.0%	12.4%	10.92%
40%	5.2%	13.2%	9.92%
60%	5.6%	15.5%	9.56%
80%	6.5%	20.0%	9.20%



READ THE TABLE

As the debt ratio climbs from 0% to roughly 40-60%, kWACC keeps falling because cheap debt outweighs the rising cost of equity. Beyond that point, both k_d and k_e rise faster as lenders and shareholders demand compensation for higher bankruptcy risk — this is the firm's approximate optimal capital structure.

Illustrative figures for teaching purposes — not from a specific company.

Four Extra Variables for the Multinational Firm

- The domestic theory needs to be modified by four additional variables to accommodate the multinational enterprise (MNE):

1



Availability of Capital

2



Diversification of Cash Flows

3



Foreign Exchange Risk

4



Expectations of International
Portfolio Investors

Variable 1 & 2: Capital Availability and Diversification



1. Availability of Capital

A multinational firm's marginal cost of capital is roughly constant over considerable ranges of its capital budget.

This is not true for most small domestic firms, since they lack equal access to capital markets.

It is also not true for MNEs based in countries with illiquid capital markets — unless they have already gained a global cost and availability of capital.



2. Diversification of Cash Flows

Multinational firms may be able to support higher debt ratios than domestic firms because their cash flows are diversified internationally.

Since returns are not perfectly correlated across countries, an MNE can reduce cash flow variability — the same logic portfolio investors use when diversifying security holdings globally.

Variable 3: Foreign Exchange Risk and the Cost of Debt

- When a firm issues foreign-currency-denominated debt, its effective cost equals the after-tax cost of repaying principal and interest in terms of the firm's own currency.
- That effective cost includes the nominal principal and interest in foreign-currency terms, adjusted for any foreign exchange gains or losses over the life of the loan.



WORKED EXAMPLE

A firm borrows JPY at a stated 2% coupon. If the yen appreciates 5% against the firm's home currency over the year, the effective cost of that debt is approximately $2\% + 5\% = 7\%$ in home-currency terms — even though the contractual yen interest rate never changed.



Why it matters

Currency movements can silently raise or lower the true cost of "cheap" foreign debt.

Treasurers must weigh the nominal interest-rate saving of foreign-currency debt against the FX risk of repaying it.

Hedging (forwards, swaps, or natural hedges from foreign-currency revenue) can offset this risk, but it is rarely free.



Variable 4: Investor Expectations



Attracting and retaining global investors

The key to gaining a global cost and availability of capital is attracting and retaining international portfolio investors.

A firm that wants to raise capital in global markets must adopt global norms close to U.S. and U.K. practice, since these markets are the most liquid and unsegmented in the world.



Practice Questions



TEST YOURSELF

1. Why does kWACC typically fall, then rise again, as a firm adds more debt to its capital structure?
2. A Vietnamese exporter earns revenue in USD and EUR but borrows only in VND. Which of the four MNE variables is most directly relevant to reducing its financing risk, and why?
3. If a firm borrows in a foreign currency that then depreciates against its home currency, does the effective cost of that debt rise or fall? Explain using the logic of the worked example on the previous slide.
4. Why might a domestic-only firm in an emerging market NOT enjoy a constant marginal cost of capital, unlike a large MNE?

III

Raising Equity Globally

The avenues, activities, and instruments firms use to raise equity abroad



Three Key Decisions in Raising Equity

- Exhibit 14.3 (right) sets out three critical elements any firm must confront when seeking to raise equity capital:
- First — a public or private equity placement
- Then — where to list the offering
- Finally — the type of issuance
- A firm seeking equity capital is ultimately in search of an issuance (IPO or SPO) — although it need not be public.

Equity Issuance

- *Initial Public Offering (IPO)*—the initial sale of shares to the public of a private company. IPOs raise capital and typically use underwriters.
- *Seasoned Public Offering (SPO)*—a subsequent sale of additional shares in the publicly traded company, raising additional equity capital.
- *Euroequity*—the initial sale of shares in two or more markets and countries simultaneously.
- *Directed Issue*—the sale of shares by a publicly traded company to a specific target investor or market, public or private, often in a different country.

Equity Listing

- Shares of a publicly traded firm are listed for purchase or sale on an exchange. An investment banking firm is typically retained to make a market in the shares.
- *Cross-listing* is the listing of a company's shares on an exchange in a different country market. It is intended to expand the potential market for the firm's shares to a larger universe of investors.
- *Depository receipt (DR)*—a certificate of ownership in the shares of a company issued by a bank, representing a claim on underlying foreign securities. In the United States they are termed *American Depositary Receipts (ADRs)*, and when sold globally, *Global Depositary Receipts (GDRs)*.

Private Placement

- The sale of a security (equity or debt) to a private investor. The private investors are typically institutions such as pension funds, insurance companies, or high net-worth private entities.
- *SEC Rule 144A private placement sales* are sales of securities to *qualified institutional buyers (QIBs)* in the United States without SEC registration. QIBs are nonbank firms that own and invest in \$100 million or more on a discretionary basis.
- *Private Equity*—equity investments in firms by large limited partnerships, institutional investors, or wealthy private investors, with the intention of taking the subject firms private, revitalizing their businesses, and then selling them publicly or privately in one to five years.

Exhibit 14.3 — Equity Avenues, Activities, and Attributes



Four Equity Alternatives in the Global Market

- Exhibit 14.4 (right) overviews the four major equity alternatives available to multinational firms today:
- Initial Public Offering (IPO)
- Euroequity issue
- Directed public/private issue
- Private placement

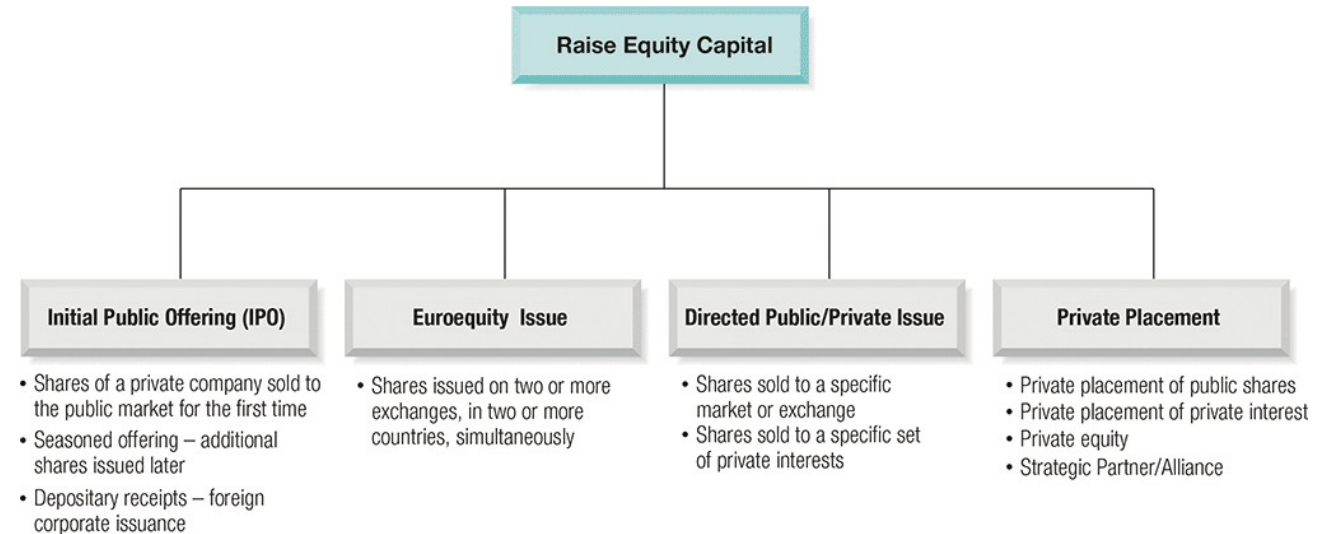


Exhibit 14.4 — Equity Alternatives in the Global Market

IPO and Euroequity Issue



Initial Public Offering (IPO)

The first public issue of a firm's equity shares, usually preceded by a published prospectus.

An IPO typically represents 15% to 25% of ownership.

Later issues by the firm are called "seasoned offerings" (SPOs).

Public issuance comes with greater public disclosure obligations.



Euroequity Issue

A euroequity issue is an initial public offering on multiple exchanges in multiple countries at the same time.

The "Euro" market is a generic term for international securities issues originating and sold anywhere in the world.

It was created by the same financial institutions that had already built the infrastructure for the Euronote and Eurobond markets.



Directed Public Share Issues

- A directed public share issue is targeted at investors in a single country and underwritten wholly or partly by investment institutions from that country.
- The issue might or might not be denominated in the currency of the target market.
- The shares might or might not be cross-listed on a stock exchange in the target market.



PRACTICAL EXAMPLE

A Vietnamese energy company wants to tap Japanese institutional demand without a full global listing. It could issue shares denominated in JPY, sold only to Japanese investors, and underwritten by Japanese securities firms — a directed public issue — rather than pursuing a costlier multi-market Euroequity offering.

Equity Alternatives at a Glance

Alternative	Target Market	Currency	Typical Use
IPO	Home market (first-time)	Home currency	First-time public equity sale
Euroequity Issue	2+ countries simultaneously	Multiple	Large global capital raise
Directed Public/Private Issue	One target country	Often local	Targeted access to a specific investor base
Private Placement	Qualified institutional buyers	Negotiated	Fast, low-disclosure capital raise



Practice Questions



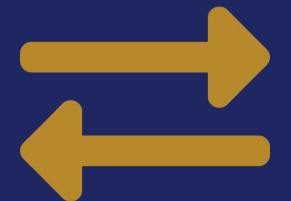
TEST YOURSELF

1. What is the key difference between an IPO and a Euroequity issue?
2. Why might a firm prefer a directed public share issue over a full cross-border Euroequity offering?
3. Using the comparison table, which equity alternative involves the least public disclosure, and why might a firm still choose it despite raising less visibility?
4. A firm's first-ever share sale represents 20% of total ownership. Is this consistent with typical IPO practice? Explain.

IV

Depository Receipts

How foreign shares get traded on U.S. and global exchanges



What Is a Depositary Receipt?

- Depositary receipts (shares) are negotiable certificates issued by a bank to represent underlying shares of stock, held in trust at a foreign custodian bank.
- American Depositary Receipts (ADRs) are traded in the United States and denominated in U.S. dollars.
- ADRs are sold, registered, and transferred in the U.S. the same way as any other share of stock.
- Each ADR represents some multiple of the underlying foreign share — this ratio is chosen so the ADR trades at a conventional U.S. share price, typically between \$20 and \$50.

Worked Example: Pricing an ADR



SCENARIO

A Brazilian company's ordinary shares trade at BRL 24 on the local exchange. The exchange rate is BRL 4.80 per USD. A U.S. depositary bank structures the ADR so that 1 ADR = 4 ordinary shares.

Step 1

Convert the share price to USD

$\text{BRL } 24 \div 4.80 = \text{USD } 5.00$ per ordinary share

Step 2

Apply the ADR ratio

$\text{USD } 5.00 \times 4 \text{ shares per ADR} = \text{USD } 20.00$ per ADR

Step 3

Interpret the result

USD 20.00 sits inside the conventional \$20–\$50 ADR pricing band

How an ADR Is Issued: Step by Step

- 1. A U.S. investor instructs a broker to buy shares in a publicly traded Brazilian company.
- 2. The U.S. broker contacts a local Brazilian broker to place the order.
- 3. The Brazilian broker buys the ordinary shares and delivers them to a custodian bank in Brazil.
- 4. The U.S. broker converts USD into BRL to pay the Brazilian broker.
- 5. The custodian notifies the U.S. depositary bank of the deposit.
- 6. The U.S. depositary bank issues and delivers the depositary receipts to the U.S. broker.
- 7. The U.S. broker delivers the DRs to the U.S. investor.

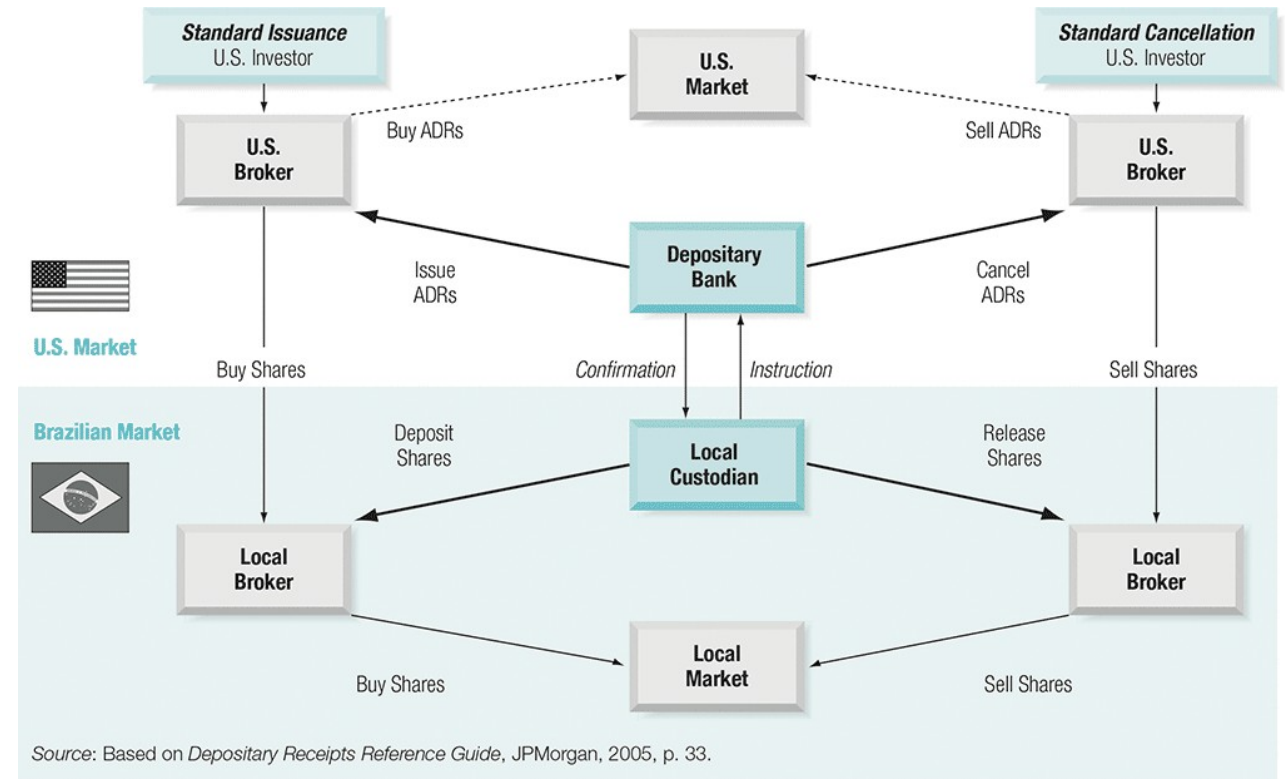


Exhibit 14.6 — The Structural Execution of ADRs

ADR Technical Features

Arbitrage keeps prices aligned

ADRs can be exchanged for the underlying foreign shares, or vice versa, so arbitrage keeps foreign and U.S. prices of a given share aligned after adjusting for transfer costs.

ADRs also convey technical advantages to U.S. shareholders (dollar-denominated dividends, U.S. clearing and settlement).

ADRs are quoted only in U.S. dollars and traded only in the U.S. Global Registered Shares (GRSs), by contrast, can trade on exchanges around the globe in a variety of currencies (see Slide 30).



Exhibit 14.5 — Sample American Depositary Receipt (TelMex)

ADR Program Structures

● Sponsored ADRs

- Created at the request of the foreign firm wishing to be listed in the U.S.

● Unsponsored ADRs

- Result from investor demand and are initiated by a U.S. securities firm — they must still be approved by the firm whose shares are listed.

● Level I

- Easiest, least restrictive listing requirements (OTC only)

● Level II

- For firms listing existing shares on a U.S. exchange — must meet SEC requirements

● Level III

- For firms selling new equity shares on a U.S. exchange (a public offering)

Type	Description	Degree of Disclosure	Listing Alternatives	Ability to Raise Capital	Implementation Timetable
Level I	Over-the-Counter ADR Program	None: home country standards apply	Over-the-counter (OTC)	—	6 weeks
Level I GDR	Rule 144A/Reg. S GDR Program	None	Not listed	Yes, available only to QIBs	3 weeks
Level II	U.S.-Listed ADR Program	Detailed Sarbanes Oxley	U.S. stock exchange listings	—	13 weeks
Level II GDR	Rule 144A/Reg. S GDR Program	None	DIFX	None	2 weeks
Level III	U.S.-Listed ADR Program	Rigorous Sarbanes Oxley	U.S. stock exchange listings	Yes, public offering	14 weeks
Level III GDR	Rule 144A/Reg. S GDR Program	EU Prospectus Directive and/or U.S. Rule 144A	London, Luxembourg, U.S. Portal	Yes, available to QIBs	2 weeks

Exhibit 14.7 — ADR Programs by Level



DR Markets Today: Who, What, and Where

● Who:

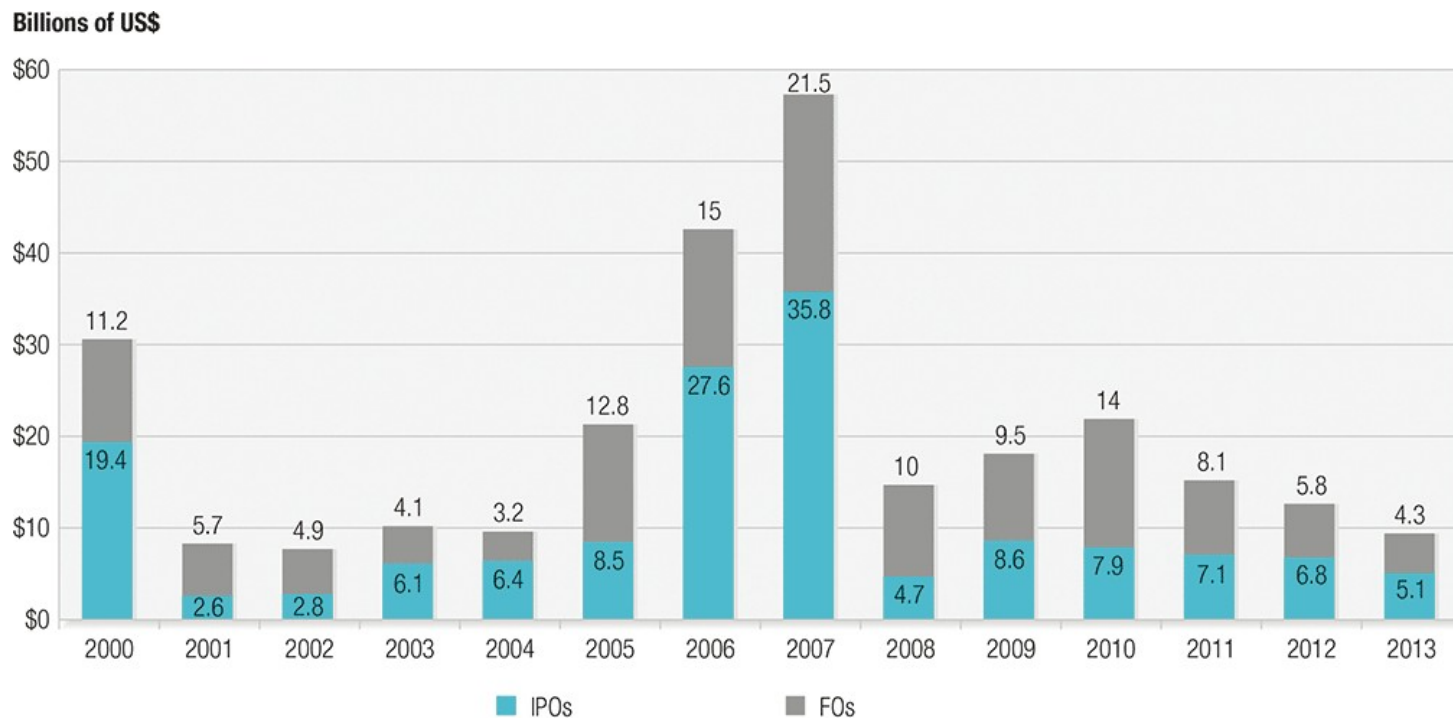
- A mix of major multinationals, though participation has shifted back toward industrial countries.

● What:

- Roughly split between IPO and follow-on (FO) offerings.

● Where:

- Mostly New York and London.



Source: "Depositary Receipts, Year in Review 2013," JPMorgan, p. 5. Data derived by JPMorgan from other depositary banks, Bloomberg, and stock exchanges, 2014.

Exhibit 14.8 — Equity Capital Raised Through Depositary Receipts (since 2000)

Global Registered Shares (GRS) vs. ADR

- A Global Registered Share (GRS) is a share of equity traded across borders and markets without conversion — one share on the home exchange equals one share on the foreign exchange.
- A GRS differs from a depositary receipt in that the DR is bundled or split so its price resembles a typical traded value in that market. A GRS has the same value everywhere and is never bundled or split for trading.

Feature	ADR	Global Registered Share
Trading currency	U.S. dollars only	Local currency of each exchange
Where it trades	United States only	Multiple exchanges worldwide
Share ratio	Bundled/split to fit local price norms	1:1 everywhere — never bundled or split
Price alignment	Kept aligned via arbitrage	Naturally identical value everywhere



Practice Questions



TEST YOURSELF

1. A Vietnamese tech firm's local shares trade at VND 85,000, and the exchange rate is VND 25,000/USD. If a U.S. depositary bank sets the ratio at 1 ADR = 10 shares, what is the ADR's approximate USD price? Is it inside the conventional \$20-\$50 band?
2. What keeps the U.S. dollar price of an ADR from drifting too far from the home-market price of the underlying share?
3. Why would a firm pursuing a full public offering of new shares need a Level III program rather than Level I?
4. Why can't a Global Registered Share simply be described as "an ADR that trades everywhere"?

V

Private Placement

Raising equity and debt outside the public markets



Private Equity Funds and the Private Placement Market



Private Equity Funds

Usually limited partnerships of institutional and wealthy individual investors, raising capital in the most liquid capital markets.

They invest in mature, family-owned firms in emerging markets, aiming to help them restructure and modernize to face new competition and technology.

Unlike traditional venture capital, private equity funds operate across many countries and industries and often hold investments longer before exiting.



The Private Placement Market

A private placement is the sale of a security to a small set of qualified institutional buyers (QIBs) under SEC Rule 144A.

Since the securities are not registered for public sale, investors typically follow a "buy and hold" policy.

Private placement markets now exist in most countries.

Equity funds are well known as takeover vehicles: they leverage investments with heavy borrowing and enjoy significant tax advantages.

VI

Foreign Equity Listing and Issuance

Why and where firms choose to cross-list their shares





Why Cross-List? Four Objectives



Objective 1

Improve liquidity of shares and support a liquid secondary market for new equity issues abroad



Objective 2

Increase share price by overcoming mispricing in a segmented, illiquid home market



Objective 3

Increase visibility and acceptance among customers, suppliers, creditors, and host governments



Objective 4

Establish a liquid market for shares used to acquire other firms, and to compensate local management and employees of foreign subsidiaries

Market Forces Reshaping Global Exchanges



Demutualization & Diversification

To maximize liquidity, firms want to cross-list and/or sell equity in the most liquid markets. Two forces are reshaping exchange behavior and liquidity:

Demutualization — the ongoing process by which small controlling seat-owners on many exchanges give up their exclusive powers.

Diversification — the growing variety of products and foreign companies/shares being listed.



New York and London Lead

New York and London remain the most liquid stock exchanges in the world.

Most exchanges have moved heavily into electronic trading in recent years.

This shift has allowed hedge funds and other high-frequency traders to dominate trading volume.



Cross-Listing, Issuance, and the Cost of Disclosure

- Although cross-listing and equity issuance can occur together, their impacts are separable and each is significant on its own.
- MNEs often list in markets where they have substantial physical operations, mostly for political reasons.
- A local, liquid market for the firm's equity can help finance acquisitions and support stock-based compensation programs for subsidiary management.



THE REAL BARRIER: DISCLOSURE

The most serious barrier to cross-listing or selling equity abroad is the future commitment to full, transparent disclosure of operating results and balance sheets, plus an ongoing investor-relations program.

The U.S. school of thought holds that the worldwide trend toward fuller, more transparent, standardized disclosure may ultimately lower the cost of equity capital.



Practice Questions



TEST YOURSELF

1. Name two of the four objectives a firm might pursue by cross-listing its shares, and give a practical example of each.
2. How has electronic trading changed who dominates volume on major exchanges?
3. Why is "full and transparent disclosure" described as the most serious barrier to cross-listing, rather than cost or paperwork alone?
4. Why might an MNE cross-list in a country where it has large physical operations, even if that market is not the most liquid?

VII

Raising Debt Globally

Bank loans, euronotes, and international bonds





The International Debt Market at a Glance

- The international debt market offers borrowers a wide variety of maturities, repayment structures, and currencies of denomination.
- Markets and instruments vary by source of funding, pricing structure, maturity, and subordination or linkage to other debt and equity instruments.
- Exhibit 14.9 (right) depicts the three major sources of debt funding in the international markets.

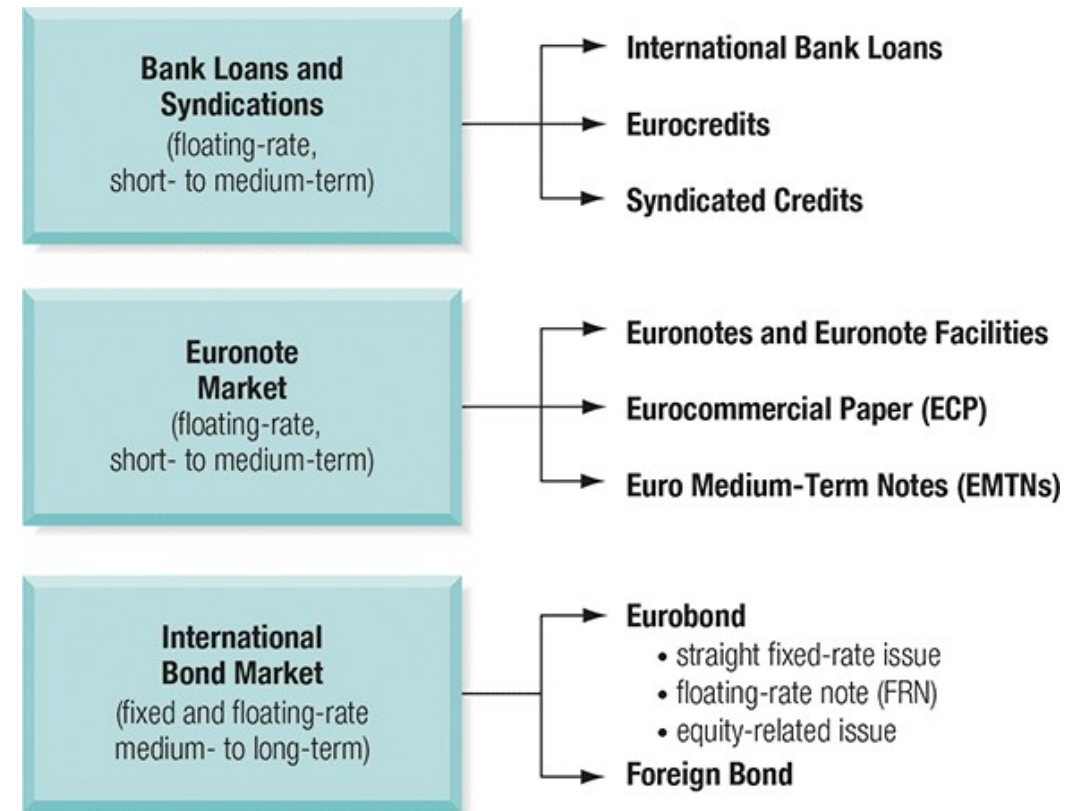


Exhibit 14.9 — International Debt Markets and Instruments



Bank Loans and Syndications



Eurocurrency Loans and Eurocredits

International bank loans have traditionally been sourced in the Eurocurrency markets, where the interest-rate spread between deposit and loan rates is narrow — less than 1%.

Eurocredits are bank loans to MNEs, sovereign governments, international institutions, and banks, denominated in eurocurrencies and extended by banks located in countries other than the country in whose currency the loan is denominated.

Syndication lets banks spread the risk of very large loans among a number of participating banks — no single lender carries the full exposure.



The Euronote Market



Bridging Short-Term and Long-Term Debt

Euronotes are short- to medium-term debt instruments, issued either underwritten or non-underwritten.

Eurocommercial paper (ECP) is a short-term debt obligation of a corporation or bank, usually denominated in U.S. dollars.

Euro medium-term notes (EMTNs) bridge the gap between Eurocommercial paper and a longer-term, less flexible international bond.



International Bonds: Eurobond vs. Foreign Bond



Eurobond

Underwritten by an international syndicate of banks and other securities firms.

Sold exclusively in countries other than the country in whose currency the issue is denominated.

Example: a USD-denominated bond issued by a European firm and sold in London and Singapore, but not in the U.S.



Foreign Bond

Underwritten by a syndicate composed of members from a single country.

Sold principally within that country and denominated in that country's currency.

Example: a Vietnamese firm issuing a JPY-denominated bond sold to Japanese investors in Tokyo (informally called a "Samurai bond") is a foreign bond, not a Eurobond.

Why Borrowers Prefer Eurobonds

- **Absence of regulatory interference**

- Governments often tightly control foreign issuers of securities denominated in local currency, but are usually less restrictive for securities denominated in foreign currency and sold within their markets.

- **Less stringent disclosure**

- Disclosure requirements are less stringent than those of the SEC.

- **Favorable tax status**

- Eurobonds offer tax anonymity and flexibility for investors.



WORKED COMPARISON

A firm needs USD 100 million. Two options:

Foreign bond (sold in the U.S., SEC-registered): full SEC disclosure, longer preparation time, but deep, liquid demand.

Eurobond (sold outside the U.S.): lighter disclosure, faster execution, often a slightly lower stated coupon thanks to tax-driven investor demand — but a narrower investor base than the full U.S. market.

The right choice depends on the trade-off between speed/cost and market depth.



Practice Questions



TEST YOURSELF

1. A Vietnamese company issues a GBP-denominated bond, underwritten by an international bank syndicate, sold in Singapore and Hong Kong (not the UK). Is this a Eurobond or a foreign bond? Why?
2. Why can syndication make a very large bank loan feasible when no single bank would lend the full amount?
3. What is the practical difference between Eurocommercial paper and a Euro medium-term note?
4. Why might lighter disclosure requirements make Eurobonds faster to issue, but not necessarily cheaper in every case?

Appendix

Financial Structure of Foreign Subsidiaries

How a foreign subsidiary can be financed, internally and externally



Internal Financing of the Foreign Subsidiary

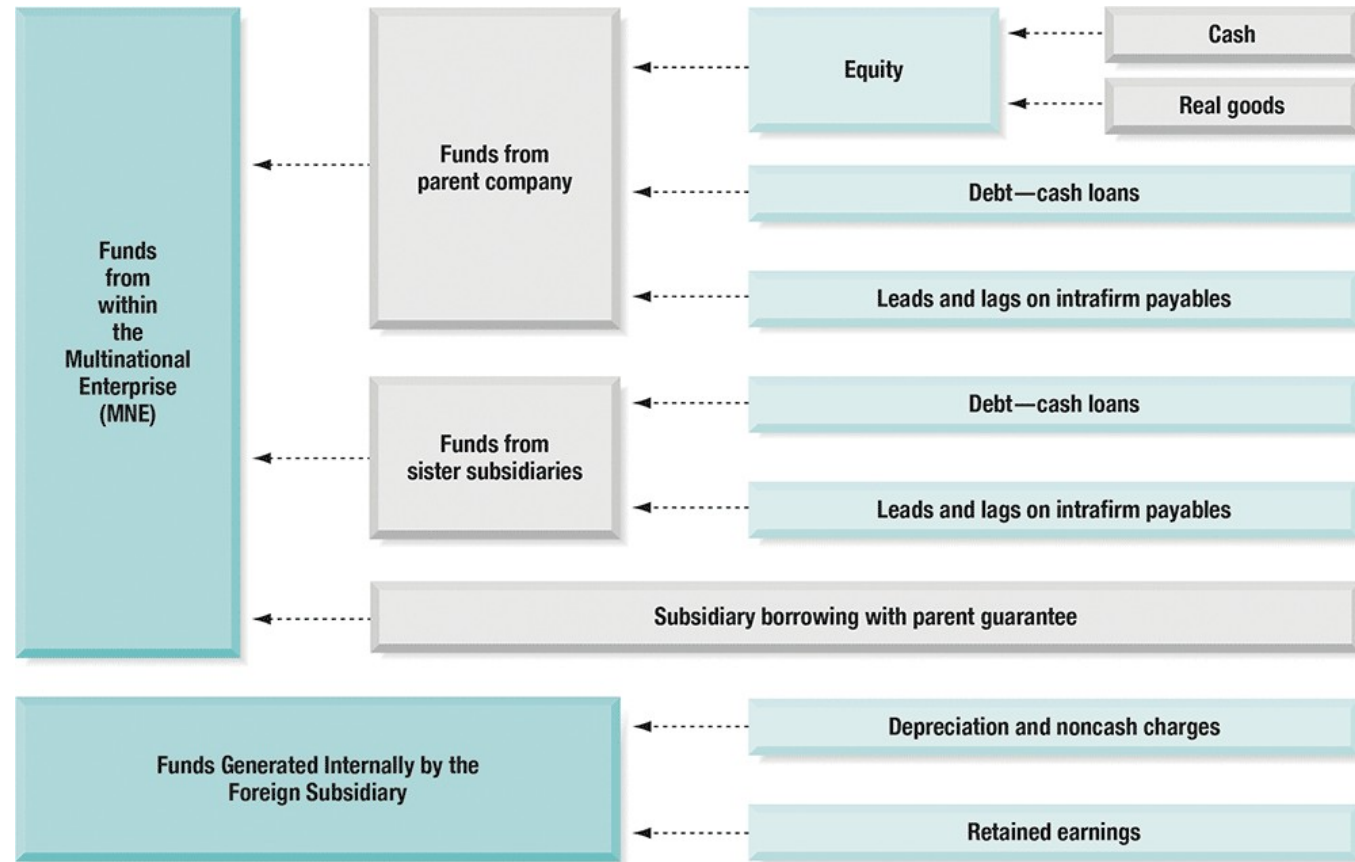


Exhibit 14A.1 — Internal Financing of the Foreign Subsidiary

External Financing of the Foreign Subsidiary

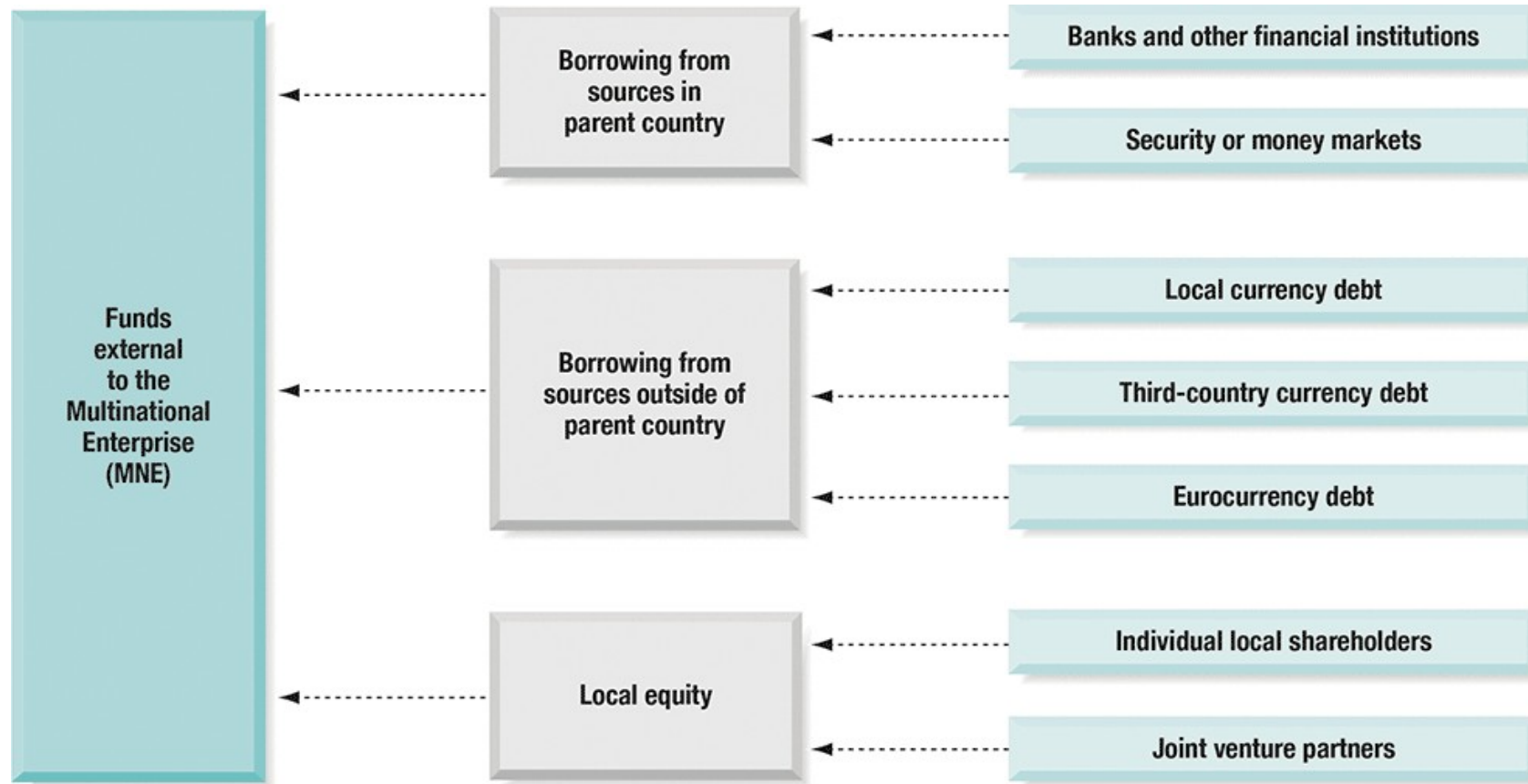


Exhibit 14A.2 — External Financing of the Foreign Subsidiary

Chapter Summary: Key Takeaways



Firms globalize capital sourcing incrementally — from domestic financing toward bond offerings, cross-listings, and full global equity issues.



The MNE's optimal capital structure adds four variables to domestic theory: capital availability, cash-flow diversification, FX risk, and investor expectations.



Equity can be raised via IPO, Euroequity, directed issues, or private placement — each trading off market reach against disclosure cost.



Depository receipts (ADRs/GDRs) and Global Registered Shares let foreign shares trade in markets like the U.S. without a full local re-listing.



Cross-listing improves liquidity and visibility, but its biggest cost is the ongoing commitment to full, transparent disclosure.



Debt can be raised through syndicated bank loans, euronotes, or international bonds (Eurobonds vs. foreign bonds), each with distinct regulatory and tax profiles.



Comprehensive Review Questions



BRING IT ALL TOGETHER

1. Trace the incremental path a small emerging-market firm might follow, from a domestic-only listing to a full global equity issue. Which chapter concepts apply at each stage?
2. A firm is deciding between raising USD 200 million via a Eurobond or via a Level III ADR-linked equity offering. What trade-offs should it weigh (disclosure, cost, investor base, currency risk)?
3. Explain, in your own words, why gaining a "global cost and availability of capital" depends on more than just being a large company.
4. How do ADR arbitrage and Rule 144A private placements both, in different ways, depend on investor trust in disclosure and legal enforceability?